Root Cause Analysis

Cracking the RCA round in PM interviews

Sid Sivaraman · Senior Product Manager, JioHotstar · ISB Co24

WHY THIS ROUND EXISTS

What this round actually tests

Not this

Whether you know a framework/jargon

This is what's graded

Can you narrow under uncertainty, commit to a hypothesis, and change your mind on evidence?

Three ways candidates fail

1

Guesses instantly

No structure. Interviewer can't follow the reasoning.

2

Builds a beautiful tree

Perfectly MECE. Never finds a cause.

3

Asks twenty questions

Runs out of clock. Never commits.

Consulting instinct is broad and MECE. RCA rewards the opposite - narrow and deep.

BEFORE WE START

Ground rules for the next 30-45 minutes

1. **I give you one line. That's all you get.**
   No context, no dashboard, no hints.

2. **Questions can go in chat or via voice. Please don’t hesitate to unmute and speak up**
   Everyone is encouraged to participate in parallel.

3. **I answer only what you ask. Literally.**
   I volunteer nothing. Vague questions get vague answers.

4. **Every question gets written down.**
   We'll review the list and score it later.

5. **Assume a healthy, fictional version of this business.**
   No outside knowledge needed or useful.

You are a growth PM at GoMechanic.

Revenue is down 25%.

STRUCTURE

Questions

```
R
```

THE METHOD

Four rules. That's the whole toolkit.

1

Ask questions that change your next move.

If the answer wouldn't change what you do next, don't ask it.

2

Narrow, don't broaden.

A beautiful tree with no root cause in it is a failed answer.

3

Dissect the statement - then dissect the answers.

4

A dead end reached methodically is progress.

Say it out loud. You're graded on reasoning, not luck.

STRUCTURE

Build the equation. Don't retrieve one.

```
Revenue  =  Orders  ×  AOV
```

STRUCTURE

Build the equation. Don't retrieve one.

```
Revenue  =  Orders/User x # Users placing an order x
                           AOV
```

STRUCTURE

Build the equation. Don't retrieve one.

```
Revenue  =  # Users opening app x

            Conversion Rate x

            Orders/User x

            # Users placing an order x

            AOV
```

Build it from this product's journey - not from memory.

An equation you retrieved from a framework is one that you memorised.
An equation you built from the product is analysis. Interviewers can tell in seconds.

MAP IT

Map the journey your equation implies

1. Install
2. App open
3. Car + service selected
4. Quote viewed
5. Slot & address chosen
6. Booking confirmed
7. **Order placed**

Every term in the equation maps to a step here.

So test every step.

THE DATA

Every step is clean

Metric	Week over week
Installs	− 1%
MAU	+ 2%
Quote views	flat
Booking confirmation rate	31% → 31%
Orders placed	**+ 1%**
AOV	₹4,200 → ₹4,180

All four affected cities. Same story.

So where's the 25%?

Flat traffic

Flat conversion

Flat orders

Flat AOV

Four flat inputs cannot produce a 25% output.

Your equation is missing a term.

Don't reach for a new hypothesis. Go find the missing term.

The question you should be asking now

What happens after an order is placed?

THE BLIND SPOT

The half of the funnel nobody maps

1. Order placed
2. Partner accepts
3. **Partner calls customer**
4. Pickup / customer arrives
5. Job done
6. **Payment collected**
7. Job closed

Every arrow is a leak point.

In a marketplace the funnel doesn't end at checkout. It ends when the money clears.

THE DATA

Now look at the second half

Metric	Before	Last week
Gross collections	—	+ 1%
Refunds as % of collections	4%	**26%**
Cancellation rate (4 cities)	7%	**63%**
Partner-initiated share	60%	80%
Customer-initiated share	5%	20%
Partner total job volume	—	unchanged

70%

of cancellations happen 10-15 minutes after the first partner→customer call

THE MISSING TERM

Corrected Equation

```
Revenue  =  # Users opening app x
            Conversion Rate x
            Orders/User x
            # Users placing an order x
            AOV

x  (1 - cancellation & refund rate)
```

Revenue collected and revenue kept are different numbers.

Why nobody caught this for 2 weeks

Cancellation rate is monitored per partner — not per city.

~400
active garages
across the four cities

4
median cancellations
per garage per week

8
per week
alert threshold

0
partners breached it

Real dashboards miss real problems when the signal is distributed.

THE CAUSE

1

Partner accepts the job

2

Calls the customer

3

Now has name, phone, address, car, service needed

4

Cancels on the app

5

Platform auto-refunds the customer

6

Does the job for cash, at a discount

```
4 cities = 40% of NBV   ×   ~60% of jobs diverted   ≈   24% national drop
```

Everybody wins. Except the platform.

In any sudden-drop case the highest-value question is “what did we change?” — and nobody asked it.

Zoom out

This is not a payments/UI bug.

Your supply side just learned that off-app economics are better

GoMechanic is turning into a lead-generation channel instead of a transaction layer.

The 25% is the symptom. Disintermediation is the disease.

60 SECONDS, THEN STOP

What you'd do about it

- **Call masking** — Partner never sees the real number
- **Address at pickup** — Not released at acceptance
- **Cancel-after-contact penalty** — Price the behaviour you don't want
- **Off-app warranty void** — Service history as lock-in

You can volunteer to bring out solutions even if not asked.

TAKEAWAYS

What this case taught you (or should have ideally taught you :P)

5

When every term in your equation is flat but the outcome moved, your equation is missing a term.

Go find the term. Don't go find a new hypothesis.

6

Your funnel doesn't end at checkout. It ends when the money clears.

Everything between order and cash is where operators lose revenue - and where candidates lose offers.

Plus the four rules you started with - those apply to every RCA question you'll ever get.

HOMEWORK

You are a growth PM on Uber's Airports team.

At Bengaluru airport, the ratio of trips ***dropping*** at the airport to trips ***picking up*** from the airport has fallen.

Hint: it's a ratio. Find out which side moved before you do anything else.